

LEASE OF FARM LAND

Between

**CAROL ANN JORDAN, MOHI WAITAI SULLIVAN and JAMES
HENARE TE TUHI as Trustees of OTUREI M10 C AHU WHENUA
TRUST**

and

**L J GILLET LIMITED and MICHAEL NICOLAAS SLAGTER and
PETER WILLIAM BYERS as Trustees of the SEAVIEW TRUST t/a
L M FARMS PARTNERSHIP**

LEASE OF FARM LAND

Dated this 21st day of August 2009.

PARTIES

1. **CAROL ANN JORDAN, MOHI WAITAI SULLIVAN and JAMES HENARE TE TUHI** as Trustees of Oturei M10 C Ahu Whenua Trust
("Lessor")
2. **L J GILLETT LIMITED and MICHAEL NICOLAAS SLAGTER and PETER WILLIAM BYERS** as Trustees of the **SEAVIEW TRUST t/a L M FARMS PARTNERSHIP**
("Lessee")

The Lessor leases the Property to the Lessee and the Lessee takes it on lease for the Term on the following terms and conditions.

Signed by the parties before the Schedule:

Signed by **CAROL ANN JORDAN** as trustee of the **OTUREI M10 C AHU WHENUA TRUST** as Lessor by:)
)
)
)



R. M. Pou
Signature of witness

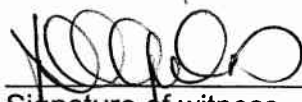
RATAPU MICHAEL Pou
Name of witness

MEAT WORKER
Occupation

8. OBAN PLACE, INVERCARGILL 9812
Address

Signed by **MOHI WAITAI SULLIVAN** as trustee of the **OTUREI M10 C AHU WHENUA TRUST** as Lessor by:)
)
)
)




Signature of witness

Lisa Giles
Name of witness

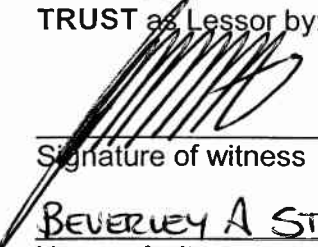
SIMPLE
STRATEGIES

KAITAPOI 7644

Accountant
Occupation

PO Box 418 Kaiapoi
Address

Signed by **JAMES HENARE**)
TE TUHI as trustee of the)
OTUREI M10 C AHU WHENUA)
TRUST as Lessor by:)


Signature of witness

BEVERLEY A STOTT
Name of witness

COURT REGISTRY OFFICER
Occupation

PO BOX 13, DARGAVILLE
Address

Signed by **L J GILLETT LIMITED**)
as Lessee in the presence of:)

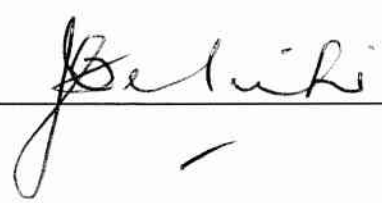

Signature of witness

Name of witness

Andrew James Golightly
Solicitor

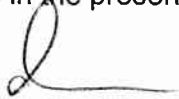
Occupation **WHANAUAREI**

Address





Signed by **MICHAEL NICOLAAS**)
SLAGTER as Trustee of the)
SEAVIEW TRUST)
as Lessee in the presence of:)



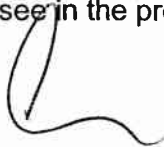
Signature of witness

Name of witness **Andrew James Golightly**
Solicitor
WHANGAREI

Occupation

Address

Signed by **PETER WILLIAM**)
BYERS as Trustee of the)
SEAVIEW TRUST)
as Lessee in the presence of:)



Signature of witness

Name of witness **Andrew James Golightly**
Solicitor
WHANGAREI

Occupation

Address

SCHEDULE

Term	Meaning
Property	296.4828 hectares, Oturei M10C Block, CT NA 10D/27
Term	Five (5) years
Start date	1 September 2009
End date	31 August 2014 or the last day of the then current renewed term if the term is renewed
Annual Rental	\$75,000.00 plus GST (land/farm buildings/2 houses)
Rental Payments	\$6,250.00 plus GST per month payable on the 1 st day of each month. The first payment is due on the 1 October 2009.
Permitted Use	Dairy farming including but not limited to grazing, hay, grass and maize silage and cropping
Fertiliser Requirements	In accordance with standard practice for this area, the Lessee will spend a minimum of \$50,000 per annum on fertiliser
Liability Sum (clause 3.21)	\$500,000.00
Renewal Period	Five (5) years
Notice Period	One (1) month
Final End Date	31 August 2019 or until such notice is given by either party
Lessor's Chattels	<i>[insert if any]</i>

TERMS AND CONDITIONS

1. INTERPRETATION

- a. Terms given a meaning in the Schedule will have that meaning where the context permits.
- b. A reference to any party includes that party's executors, administrators or permitted assigns, or if a company, its successors or permitted assigns or both.
- c. The liability of each party where more than one person is involved will be joint and several.
- d. In this Lease reference to any statutory provision includes any provision which amends or replaces it and any legislation made under it.

- e. Clause headings are for reference purposes only.
- f. Where appropriate the term "Lessor" shall include the Lessor's agents and workmen.

2. TERM

- 2.1 The Term will commence on the Start Date and end on the End Date.
- 2.2 The Lessee will occupy the Property under a monthly tenancy if this Lease is not renewed and the Lessee remains in occupation with the Lessor's consent after the End Date. The provisions of this Lease will otherwise continue to apply.

3. LESSEE'S OBLIGATIONS

3.1 Rent

The Lessee will pay the Rental Payments on due date without deduction or set-off whether legal or equitable in the manner directed by the Lessor.

3.2 Payment for services, rates & insurance

- a. The Lessee will pay all charges for water, power, telephone, gas and other services supplied to the property.
- b. The Lessee will pay all rates, if any, for the property.
- c. The Lessee will pay the insurance premiums for the property, including the two houses, one round barn and three-bay shed by one house.

If any insured buildings or improvements on the property are damaged or destroyed; and

- i. The Lessee's policy or policies of insurance shall not have been invalidated or payment of the policy moneys refused in consequence of some act or default of the Lessee; and

- ii. All the necessary permits and consents shall be obtainable,

then (subject to clause 3.2f) the Lessee will with all reasonable speed expend all the insurance moneys received by the Lessee in respect of such damage towards repairing or reinstating the buildings or improvements but the Lessee will not be liable to spend any sum of money greater than the amount of the insurance money received.

- d. Any repair or reinstatement may be carried out by the Lessee using such materials and form of construction and according to such plan as the Lessee thinks fit and shall be sufficient so long as it is reasonably adequate for the Lessee's use of the property.
- e. Until the completion of the repairs or reinstatement a fair proportion of the rent and outgoings shall cease to be payable according to the nature and extent of the damage.

- f. If any necessary permit or consent shall not be obtained or the insurance moneys received by the Lessee shall be inadequate for the repair or reinstatement then this Lease may be terminated by either party giving the other notice in writing accordingly but without prejudice to the rights of either party against the other.

3.3 Power supply

The Lessee will not allow any charge to be created upon the Property by any Power Authority.

3.4 Farm maintenance

- a. Keep all buildings, fences, gates, stockyards, bridges and fixtures which are part of the Property in good order and condition (having regard to their order and condition at the Start Date), except for fair wear and tear and damage by fire, flood, earthquake or other inevitable accident which is not caused by any act or omission of the Lessee; and
- b. Keep all water reticulation systems, races, crossings, culverts, gateways, trough surrounds and the Lessor's Chattels in good order and repair at all times ; and
- c. Indemnify the Lessor against any losses (including costs) incurred by the Lessor if insurance moneys are irrecoverable or premium rates are increased because of any act or omission of the Lessee.

3.5 Alterations

- a. Unless specified in clause 3.5.b the Lessee will not make any alterations to any of the buildings or other improvements on the Property or its subsoil or contours without the prior written consent of the Lessor. The Lessor may impose any conditions when giving consent.
- b. The Lessor agrees that the Lessee shall be able to excavate the land and be able to alter, remove or otherwise deal with the subsoil or contours of the land for the purpose of cultivating crops, racing, tracking, roading, maintaining trough areas and gateways.

3.6 Use of the property

The Lessee will:

- a. Use the property for the permitted use only; and
- b. Use the Lessor's Chattels for their designed use only; and
- c. Not store any inflammable or dangerous goods on the Property when they are not reasonably required for the permitted use; and
- d. Not do anything which in the Lessor's reasonable opinion is a nuisance to the Lessor or neighbours; and
- e. Not do anything on the property which is illegal.

The Lessor agrees that the Lessee:

- d. May place any area of the land in crops, grass and maize silage and/or hay as the Lessee requires; and
- e. Regrass any land they require with new or improved grass cultivators, and/or plantain, chicory and clovers.

3.7 Noxious weeds

The Lessee will keep the property free of all noxious weeds and comply with the Biosecurity Act 1993 at the Lessee's expense despite any compensation provisions in the Act.

3.8 Noxious pests

The Lessee will properly control the numbers of rabbits and any other noxious pests on the Property and comply with the Biosecurity Act 1993.

3.9 Good husbandry

The Lessee will farm, cultivate and manage all of the Property in a good and husband-like manner in accordance with the Lessor's reasonable requirements and keep the Property in good condition (subject to clause 3.4).

3.10 Top dressing

The Lessee will topdress all pasture in a proper manner and at the proper time each year in accordance with the Fertiliser Requirements.

3.11 Stocking

The Lessee will:

- a. Stock the property according to the rules of good husbandry generally recognised in the district; and
- b. Not graze more than the Property will reasonably carry; and
- c. Not during the last year of the lease graze more stock than were grazed at any one time during the previous 12 months without the prior written consent of the Lessor.

3.12 Dangerous or diseased stock

The Lessee will not allow any stock known to be dangerous or diseased to remain on the Property.

3.13 Drains etc

The Lessee will keep all ditches, drains and water courses on the Property free of weed and clear and unobstructed.

3.14 Fencing and Fencing Act

- a. The Lessee will comply with the Fencing Act 1978 and keep the Lessor indemnified against all claims and costs associated with fencing requirements.

3.15 Stock damage

The Lessee will promptly make good any damage to fences, or other improvements and pasture caused by any stock grazing on the Property.

3.16 Security

The Lessee will return keys to all locks on the Property to the Lessor at the end of this Lease.

3.17 Comply with statutes

The Lessee will comply with all relevant Acts, regulations, bylaws or lawful requirements of all public bodies and authorities concerning the business of the Lessee on the Property.

3.18 Effluent

The Lessee will provide and properly maintain an approved method of all effluent at all times.

3.19 Trees

The Lessee will not cut down or damage or allow others to cut down or damage any trees or shrubs on the Property without the prior written consent of the Lessor. The Lessor may withhold consent without giving any reason.

3.20 No assignment or subletting

- a. The Lessee will not assign, sublet or otherwise part with possession of any of the Property unless specified in clause 3.20.b.
- b. The Lessor agrees that the Lessee may sublet the 2 houses on the Property to any of the Lessee's employees and/or contractors providing services to the Lessee.

3.21 Public liability

The Lessee will take out and maintain a public liability policy in the joint names of the Lessor and the Lessee for the Liability Sum with a company approved by the Lessor. The Lessee will provide evidence to the Lessor that such policy has been arranged.

3.22 Lessor inspection

The Lessee will:

- a. Permit the Lessor to enter and inspect the Property at all reasonable times; and
- b. Repair and make good all defects and lack of repair for which the Lessee is liable within 1 month of receiving written notice from the Lessor.

3.23 Lessee's risk

The Lessee occupies the Property at the Lessee's risk and, to the extent permitted by law, now releases the Lessor and the Lessor's employees and agents from all liability in respect of any accident, damage or injury to any person or property which directly or indirectly relates to the Property.

3.24 Notice of damage

The Lessee will immediately give the Lessor notice of:

- a. Any damage to the Property; and
- b. Any circumstances likely to result in damage to the Property.

3.25 Restoration of property

- a. If requested to do so by the Lessor the Lessee will:
 - i. Remove any additions or alterations to any buildings or fixtures on the Property made by the Lessee and reinstate them to their previous condition; and/or
 - ii. Make good any damage to the Property caused by the Lessee's additions or alterations or their removal;before the End Date or prior termination of the Term.
- b. If the Lessee fails to remedy any default under this clause within 30 days of being given written notice to do so the Lessor may:
 - i. Carry out the work at the Lessee's expense; or
 - ii. Elect not to in which case the Lessor will become the owner of the Lessee's fixtures still on the Property.

3.26 Costs of lease

- a. Each party will pay their own solicitors costs of and incidental to the preparation and completion of this lease; and
- b. The Lessee will pay the Lessor's solicitors' costs of and incidental to any action taken for any default by the Lessee.

3.27 Tax including GST

The Lessee will pay:

- a. All levies, duties and taxes payable by the Lessor as a result of this lease (including Goods and Tax Services Tax) or the Lessor's having an interest in the Property (but excluding tax assessed for the Lessor's profits or capital gains); and
- b. Any default tax or penalty paid by the Lessor because the Lessee fails to make the above payments on due date. The Lessor will be under no obligation to mitigate any loss incurred under those circumstances. This subclause is without prejudice to the Lessor's other legal or equitable remedies.
- c. GST at the same time and in the same manner as the rent.

3.28 Default interest

- a. If the Lessee fails to pay any payment due to the Lessor under this lease on due date the Lessee will pay interest on the amount in arrears at the rate of:
 - i. 6% per annum plus;
 - ii. The 90 day bill rate current on the due date for payment calculated from the due date to the date of actual payment.
- b. For the purposes of clause 3.28 a. the "90 day bill rate" is the 90 day bank bill buy rate disclosed on Reuters screen page BKBM (or its successor page) at 11am.

3.29 Indemnity

The Lessee will indemnify the Lessor against all claims or losses (including costs) directly or indirectly incurred by the Lessor as the result of any breach of the Lessee's obligations in this lease or any act or omission of the Lessee or persons under the Lessee's control.

3.30 Lessor's Chattels

- a. The Lessee will at all times keep and maintain the Lessor's Chattels in good order and repair; and
- b. The Lessee will not make any modifications or alterations to the Lessor's Chattels without the prior written consent of the Lessor; and
- c. The Lessee will not remove any identification features on any of the Lessor's Chattels; and
- d. The Lessee will not remove any of the Lessor's Chattels from the Property; and
- e. The Lessee will take good care of the Lessor's Chattels and will not use them for any purpose for which they are not designed; and
- f. The Lessee will immediately notify the Lessor of any loss of or damage to the Lessor's Chattels; and
- g. The provisions in this lease which relate to the insurance of the Property will also apply to the Lessor's Chattels with any necessary amendments.

4. LESSOR'S OBLIGATIONS

4.1 Quiet enjoyment

If the Lessee pays the rent and complies with all of the Lessee's obligations under this lease the Lessee may quietly enjoy the Property throughout the Term without any interruption by the Lessor or anyone claiming under the Lessor.

5. MUTUAL AGREEMENTS

5.1 Termination

- a. This lease continues until ended:

- i. By expiry of the Term or any renewed term (if applicable); or
 - ii. By giving 1 month's written notice to the other party advising the original term has expired and it is a monthly tenancy.
 - iii. In accordance with clause 5.1b.
- b. The Lessor can end this lease by notice in writing to the Lessee if the Lessee:
 - i. Has not paid any instalment of rent 10 days after it is due whether demanded or not; or
 - ii. Does not fulfil any of the Lessee's other obligations under this lease and either:
 - (1) The default is material and cannot be remedied
 - (2) The default can be remedied but has not been 14 days after the Lessee receives written notice of the default (the "Termination Notice") but the Lessor cannot end this lease under this clause 5.1b.ii if the default is not material or has been remedied before the Lessee receives the Termination Notice;
 - iii. Commits an act of bankruptcy or makes any assignment or composition with its creditors;
 - iv. Becomes liable to be placed in liquidation;
 - v. Cannot pay the Lessee's debts when they fall due, or is deemed not to be able to pay them in accordance with section 287 of the Companies Act 1993; or
 - vi. Suspends payment to the Lessee's creditors or threatens to cease operating or convenes a meeting of its creditors to propose a scheme of arrangement with them;
 - vii. Has a liquidator appointed or the Lessee's board or shareholders propose or pass a resolution to appoint a liquidator;
 - viii. Has a receiver, manager or statutory manager appointed;
 - ix. Has an application for it to be placed in liquidation presented or advertised;
 - x. Passes or purports to pass a resolution for it to be placed in liquidation;
 - xi. Has an order made against it for more than \$5,000.00 against the Lessee's property or assets;
 - xii. Has a final judgement for more than \$5,000.00 against the Lessee which remains unpaid for 14 days;
- c. Nothing in clause 5.1 affects the operation of any clauses in this lease which are expressed or implied to have effect after its termination.

- d. The Lessor may exercise the Lessor's powers of re-entry if the Lessor terminates this lease in accordance with the provisions of this clause 5.1.
- e. The powers of re-entry implied in leases by the Property Law Act 2000 are implied but modified as set out in this clause 5.1.
- f. On termination or expiration the Lessee will yield the property.

5.2 Consequences of termination

- a. Any termination of this lease will be without prejudice to the rights of either party arising prior to termination.
- b. If the Lessor terminates this lease under clause 5.1b or the Lessee repudiates or is deemed to repudiate this lease then the Lessor may recover damages from the Lessee in respect of all of the Term despite any rules in law or in equity to the contrary.
- c. The Lessor's rights to damages will not be limited by:
 - i. The Lessee abandoning the Property;
 - ii. The Lessor electing to re-enter or terminate this lease;
 - iii. The Lessor accepting the Lessee's repudiation;
 - iv. The parties conduct if it constitutes a surrender by operation of law.
- d. Nothing in this clause 5.2 affects any other legal or equitable rights of the Lessor.

5.3 Default by Lessee

- a. If the Lessee does not carry out the Lessee's obligations contained or implies in this lease then the Lessor may carry them out either wholly or in part without prejudice to any other rights powers or remedies of the Lessor; and
- b. The Lessee will pay the cost incurred to the Lessor on demand.

5.4 Right of renewal

- a. If the Lessee has always fulfilled the Lessee's obligations under this lease the Lessee will have the right to renew it for the Renewal Period.
- b. The Lessee must give the Lessor written notice of intention to renew at least 6 months before the End Date.
- c. The terms of the renewed lease will be the same including this right of renewal unless by exercising the right the Lessee would be entitled to occupy the Property after the Final End Date.

5.5 Resource consents

- a. The Lessor will make available to the Lessee all resource consents held by the Lessor which apply to the Permitted Use on the Property.

- b. The Lessee must transfer all consents then held by the Lessee back to the Lessor when this lease ends.

5.6 Registration

The Lessee will not be entitled to register this lease or any renewal or amendment of it and will not caveat the title to the Property.

5.7 Implied terms

The terms and conditions implied in leases under Part 4 of the Property Law Act 2007 and Part 7 of the Land Transfer Act 1952 will apply to this lease unless they are inconsistent with it.

5.8 No compensation

The Lessee will not be entitled to compensation for any improvements made to the Property.

5.9 Waiver

- a. If either party delays or does not exercise any right or remedy under this lease, it is not a waiver of that right or remedy.
- b. The single or partial exercise of any right or remedy under this lease does not preclude the exercise of any other right or remedy or its further exercise.
- c. The rights and remedies provided in this lease are cumulative. They do not exclude any rights or remedies provided by law.
- d. Any waiver or consent given by a party must be in writing and will be effective only in the specific instance and for the specific purpose for which it is given.

5.10 Dispute resolution - mediation

- a. A party must use the mediation procedure to resolve a dispute before commencing legal proceedings.
- b. The mediation procedure is:
 - i. The party who wishes to resolve a dispute must give a notice of dispute to the other party.
 - ii. The notice of dispute must state that the dispute has arisen, and state the matter in dispute.
 - iii. When the notice of dispute has been given the parties will appoint a mediator and if they fail to agree the mediator will be appointed by the president of the New Zealand Law Society or the president's nominee.
 - iv. The parties must co-operate with the mediator in an effort to resolve the dispute.

- v. The mediator may engage an appropriately qualified expert to give an opinion on technical matters. The cost will be a mediator's cost (clause 5.10.b.viii).
 - vi. If the dispute is settled, the parties must sign a copy of the terms of the settlement.
 - vii. If the dispute is not resolved within 14 days after the mediator has been appointed, or within any extended time that the parties agree to in writing, the mediation must cease.
 - viii. Each party must pay a half share of the costs of the mediator's fee and costs including travel, room hire, refreshments etc.
- c. The terms of settlement are binding on the parties and override the terms of the contract if there is any conflict.
 - d. Either party may commence legal proceedings when mediation ceases under clause 5.10.b.vii.
 - e. The terms of settlement may be tendered in evidence in any mediation or legal proceedings.
 - f. The parties agree that written statements given to the mediator or to one another, and any discussions between the parties or between the parties and the mediator during the mediation period are not admissible by the recipient in any legal proceedings.
 - g. The provisions of clause 5.10.a will not apply to an application by either party seeking urgent interlocutory relief from any court.
 - h. Pending resolution of any dispute the parties will perform this lease in all respects including performance of the matter which is the subject of dispute.

5.11 Variation

This agreement may not be varied except by writing signed by the parties.

6. NOTICES

- a. Any notice or other communication ("notices") given under this Deed must be in writing.
- b. It may be served personally or sent to any of the relevant party's communication points listed below.
- c. Each party will notify the other in writing of any changes.

Lessor:	Oturei M10 C Ahu Whenua Trust
Lessor's Address:	C/- Simple Strategies Limited, 50-52 Charles Street, Kaiapoi
Attention:	Michelle Tubb
Facsimile:	03 327 4278
Postal Address:	P O Box 418, Kaiapoi

Lessee: **L M Farms**
Lessee's Address: 455 West Coast Road, RD 1, Dargaville 0371
Attention: M N Slagter & L J Gillett
Facsimile: 09 439 1573
Postal Address: 455 West Coast Road, RD 1, Dargaville 0371

- 6.1 Notices are deemed served at the following times:
- a. When given personally, upon delivery;
 - b. When sent by post (other than airmail) or document exchange, 3 business days after posting;
 - c. When sent airmail outside New Zealand, 5 business days after posting;
 - d. When sent by facsimile or email upon receipt of the correct answerback or receipt code.
- 6.2 Any notice that has been served on a Saturday, Sunday or public holiday is deemed to be served on the first business day after that day.
- 6.3 A notice may be given by an authorised officer, employee or agent.
- 6.4 Notice may be given personally to a director, employee or agent of the party at that party's address or to a person who appears to be in charge at the time of delivery or according to section 387 to section 390 (inclusive) of the Companies Act 1993.
- If the party is a natural person, partnership or association, the notice may be given to that person or any partner or responsible person. If they refuse to accept the notice, it may be brought to their attention and left in a place accessible to them.
- 6.5 Time is of the essence.

7. INDEPENDENT TRUSTEE CLAUSE

- 7.1 **PETER WILLIAM BYERS** as trustee of the **SEAVIEW TRUST** ("the trust") is acting in an independent capacity and is having no interest in the assets of the trust other than as trustee is liable under this Lease Agreement for rural land only to the extent of the value of the assets of the trust available from time to time to meet his liability to which shall be added the sum (if any) by which the value has been diminished by any breach of trust caused by wilful default or dishonesty.